The first three years of ICICI were years of mixed achievements. The institution had done nothing to make foreign currency loans available and increasingly organizational problems were coming to the fore. The World Bank as well as the Indian members of the Board were unhappy with the way the Corporation was functioning. In 1956–57, ICICI was nearly wound up. There were conflicts between Beale and some of the industrialists who were Directors of the Board. The conflicts were rooted partly in personalities, partly in differences over policy. A major factor was the difference in perception of the role that ICICI was expected to play. Beale was not only an expatriate, but a central banker whose expertise was what could be expected by long years in working for a regulatory monetary authority. He did not share the ‘development perspective’ of the Indians on the Board. Moreover, Beale was expected to safeguard expatriate shareholder interests—American as well as British, and therefore, perhaps, insisted on certain procedures while sanctioning loans. Indian industrialists resented this and found the process of appraisal and evaluation irksome. A major conflict was on the question of exchange risk on World Bank credit. Things reached such a sorry pass that Beale actually wrote to the World Bank to close down ICICI. G.D. Birla, who was a member of the Board, wrote to Prime Minister Nehru complaining about the delays and inefficiency in the working of ICICI.

Parekh was appointed Deputy General Manager of ICICI in March 1956. In his reminiscences Parekh says that it was in a sense a chance happening. He was not aware that ICICI was looking for an Indian Deputy to the General Manager. He had personally known Beale when the latter had been with the RBI for a short period before the Second World War. Parekh was then a broker working with the firm of Harkisondass Lukhmidass and he and his boss met Beale to ask him to appoint the firm as one of ICICI’s brokers. Parekh continued to visit Beale providing him with market news and gossip. One day, he told him that there was a rumour in the market that the Chief Executive of a top financial firm was likely to be appointed as his Deputy. Beale felt that the Board was plotting behind his back and strongly opposed the move. The person considered for the post told Parekh later that his appointment which had seemed certain did not materialize at the last moment.